ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 7

ECONOMIC AND MANAGEMENT SCIENCES

PAPER 1 · PRACTICE C · MARKING GUIDELINE

MARKS: 100

Marking guideline for the Academic Central Grade 7 Economic and Management Sciences paper 1 · practice c.

Written by Academic Central for practice, following the CAPS curriculum for Grade 7. It is not a Department of Basic Education marking guideline.

How to mark: each ✓ is one mark. Accept other correct examples and answers in the learner's own words. In calculations give method marks even if the final answer is wrong (consistent accuracy).

SECTION A

QUESTION 1

1 1.1 D ✓ 1.2 B ✓ 1.3 D ✓ 1.4 B ✓ 1.5 C ✓ 1.6 A ✓ 1.7 B ✓ 1.8 D ✓ 1.9 A ✓ 1.10 C ✓ (10)

QUESTION 2

2.1 True ✓✓ (2)

2.2 False ✓ – Wants ✓ (2)

2.3 False ✓ – deficit ✓ (or: a surplus means income is more than expenses) (2)

2.4 True ✓✓ (2)

2.5 False ✓ – Capital ✓ (2)

TOTAL SECTION A: [20]

SECTION B

QUESTION 3

3.1 Barter → commodity money (cattle, shells) → coins → paper money → electronic money ✓✓✓✓ (one mark for each item after barter in the correct place) (4)

3.2 (a) Any TWO: safer – no cash to lose or be stolen ✓; no need to carry large amounts ✓; easy to track spending on a bank statement; can be used online (4)
(b) Any TWO: bank charges ✓; card fraud or skimming ✓; easy to overspend; does not work without network or electricity; not all small traders accept cards

3.3 Any FOUR: food ✓; water ✓; shelter (housing) ✓; clothing ✓; health care; education; electricity / energy (4)

3.4 Any TWO, two marks each: households supply labour (workers) to businesses ✓, and businesses pay them salaries and wages ✓; households buy goods and services from businesses ✓, and businesses need this money to make a profit and stay open ✓. (4)

3.5.1 $\text{R}2\,000 + \text{R}4\,500 + \text{R}6\,000 + \text{R}25\,000 + \text{R}62\,500 = \text{R}100\,000$ ✓; $\text{R}100\,000 \div 5 = \text{R}20\,000$ ✓ (2)

3.5.2 Three families (A, B and C) ✓ (1)

3.5.3 No ✓. Most families earn far less than R20 000; the average is pulled up by two families with very high incomes, which shows great inequality ✓. (2)

3.5.4 Any TWO: crime ✓; poor health in poor households ✓; anger and conflict in the community; unequal education; people moving away to find work (2)

3.6 Education gives people knowledge and skills ✓, so they can get better-paid jobs or start businesses and earn more income for the family ✓. (2)

[25]

SECTION C

QUESTION 4

4.1.1 $\text{R}11\ 200 + \text{R}1\ 500$ ✓ $= \text{R}12\ 700$ ✓ (2)

4.1.2 $\text{R}3\ 800 + \text{R}3\ 200 + \text{R}1\ 450 + \text{R}1\ 100 + \text{R}650 + \text{R}480 + \text{R}600$ ✓ $= \text{R}11\ 280$ ✓ (2)

4.1.3 $\text{R}12\ 700 - \text{R}11\ 280$ ✓ $= \text{R}1\ 420$ ✓ (2)

4.1.4 (a) $10\% \times \text{R}12\ 700$ ✓ $= \text{R}1\ 270$ ✓ (b) Yes, R1 270 is less than the surplus of R1 420 ✓ (3)

4.1.5 $12\% \times \text{R}1\ 100 = \text{R}132$ ✓; $\text{R}1\ 100 + \text{R}132 = \text{R}1\ 232$ ✓ (2)

4.1.6 Entertainment ✓ (1)

4.2.1 $\text{R}250 \times 8$ ✓ $= \text{R}2\ 000$ ✓ (2)

4.2.2 $\text{Interest} = \text{R}2\ 000 \times 9\% \times 2$ ✓ $= \text{R}360$ ✓; $\text{total} = \text{R}2\ 360$ ✓ (3)

4.2.3 When you buy on credit you pay interest, so the item costs more ✓; saving means you do not fall into debt (and you may even earn interest) ✓. (2)

4.2.4 Something specific you are saving towards, by a certain time ✓ (1)

4.3.1 $\text{R}500 + (12 \times \text{R}450)$ ✓ $= \text{R}500 + \text{R}5\ 400 = \text{R}5\ 900$ ✓ (2)

4.3.2 $\text{R}5\ 900 - \text{R}4\ 800 = \text{R}1\ 100$ ✓ (1)

4.3.3 Any TWO: you pay more because of interest ✓; you may not be able to pay the instalments if you lose your income ✓; the goods can be repossessed; it leads to debt and a bad credit record; it is easy to overspend (2)

4.4 (a) Fixed ✓ (b) Variable ✓ (c) Fixed ✓ (d) Variable ✓ (e) Fixed ✓ (5)

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SECTION D

QUESTION 5

5.1.1 $\text{R}180 + \text{R}45 + \text{R}30 + \text{R}25$ ✓ $= \text{R}280$ ✓ (2)

5.1.2 $\text{R}280 \div 40$ ✓ $= \text{R}7$ ✓ (2)

5.1.3 $\text{R}7 + (100\% \times \text{R}7)$ ✓ $= \text{R}14$ ✓ (2)

5.1.4 (a) $35 \times \text{R}14$ ✓ $= \text{R}490$ ✓ (b) $\text{R}490 - \text{R}280$ ✓ $= \text{R}210$ ✓ (4)

5.1.5 Any TWO: the price was too high ✓; there was competition from other stalls selling similar items ✓; poor advertising; not enough choice of colours or designs; customers did not have enough money (2)

5.1.6 Any ONE: sell them later at a lower price; sell them to family and friends; keep them for the next market day ✓ (1)

5.2 Any TWO suitable questions, e.g. "Would you buy a beaded bracelet?" ✓ "How much would you pay for one?" ✓ "Which colours do you like best?" (2)

5.3 An employee works for someone else and earns a salary or wage ✓; an entrepreneur starts and owns a business and takes the risk to earn a profit ✓. (2)

5.4 The entrepreneur has the idea and organises ✓ the natural resources, labour and capital to produce goods or services ✓. (2)

5.5 Any TWO: friendly, good service ✓; good quality products ✓; fair prices; specials or loyalty rewards; listening to customers' complaints (2)

5.6 Any TWO: own savings ✓; a loan from family or friends ✓; a bank loan; a government or youth fund grant; selling things you own (2)

5.7 It can make customers ill (it is unsafe) ✓, and the business can lose its customers and its good name, or be fined ✓. (2)

[25]

TOTAL: 100

END OF MARKING GUIDELINE